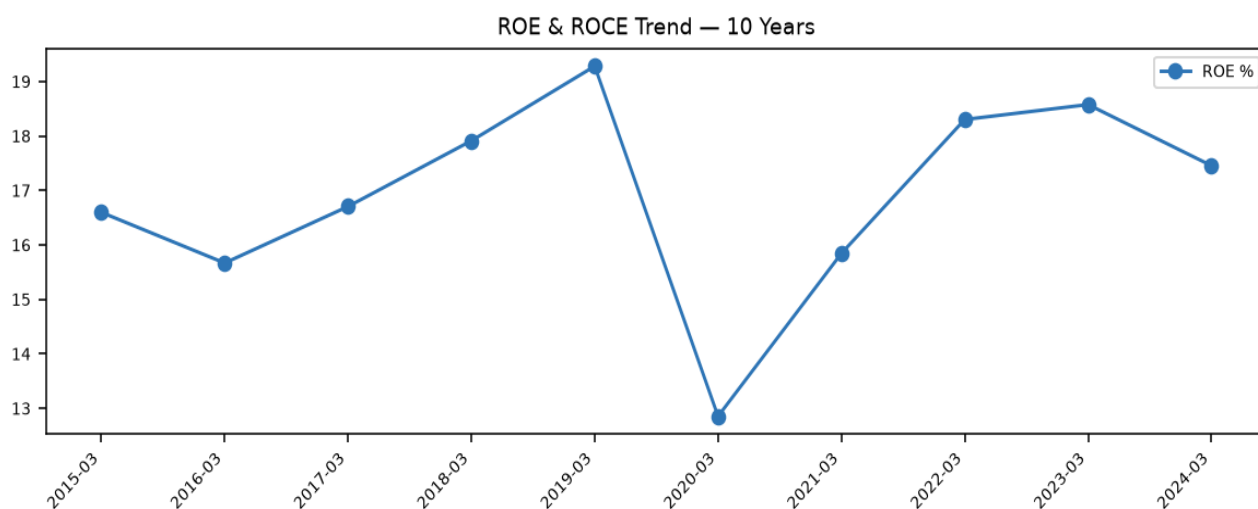
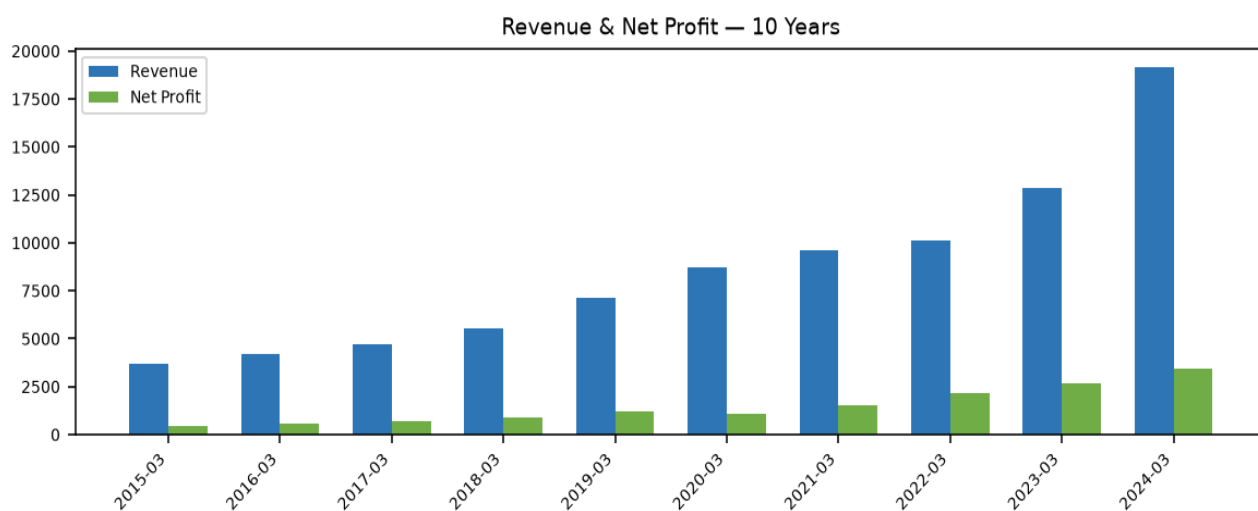
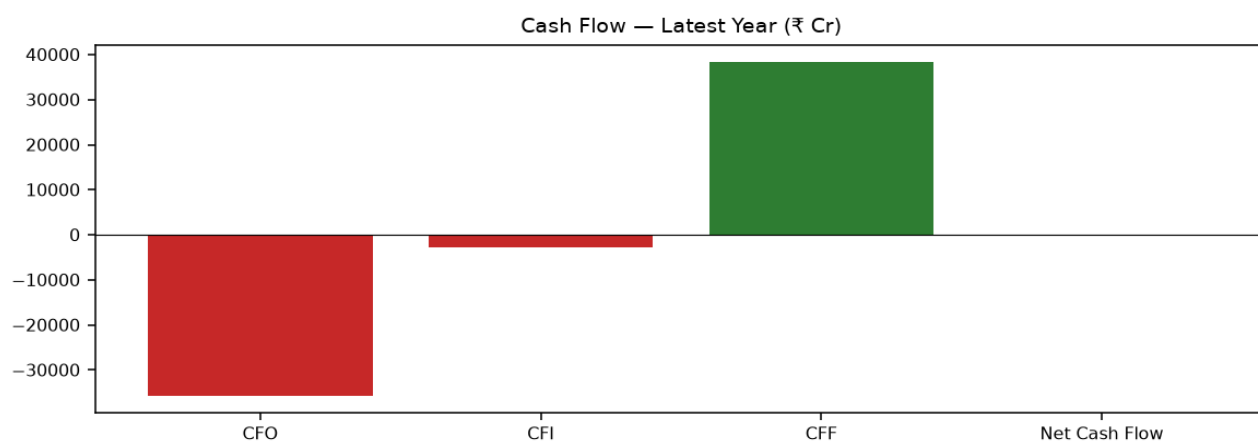
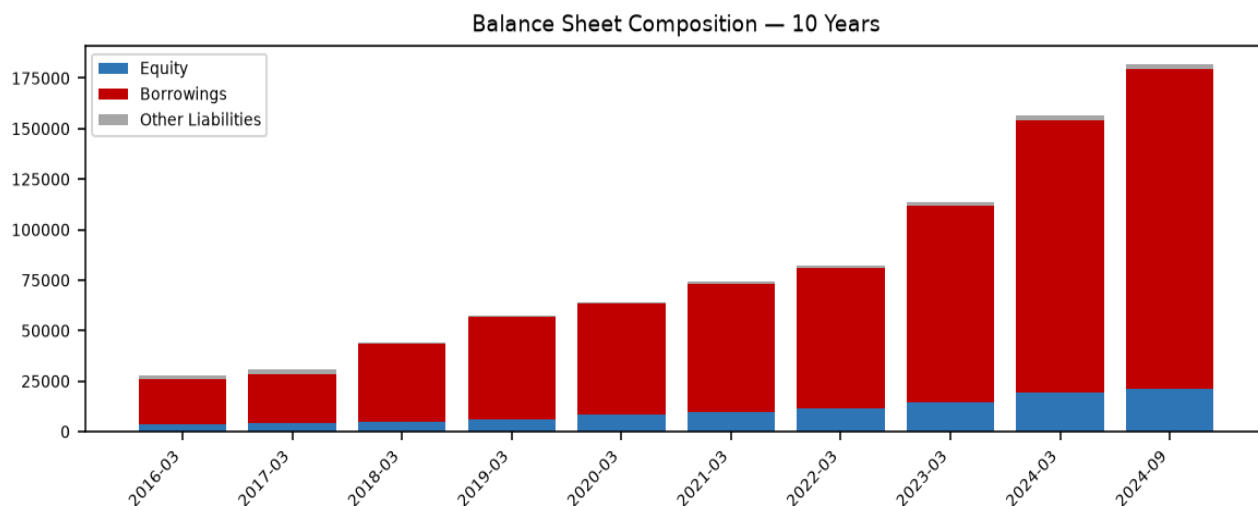


Cholamandalam Investment & Finance Company Ltd (CHOLAFIN)

Sector: Financials

ROE	ROCE	NPM
17.46%	N/A	17.85%
D/E	Revenue CAGR 5yr	FCF (■ Cr)
6.86	21.94%	-38538.00





Pros

- ✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- ✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- ✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation: Growth Funded by Debt